

Rebuilding Boeing, reinventing Airbus: A duopoly in transition

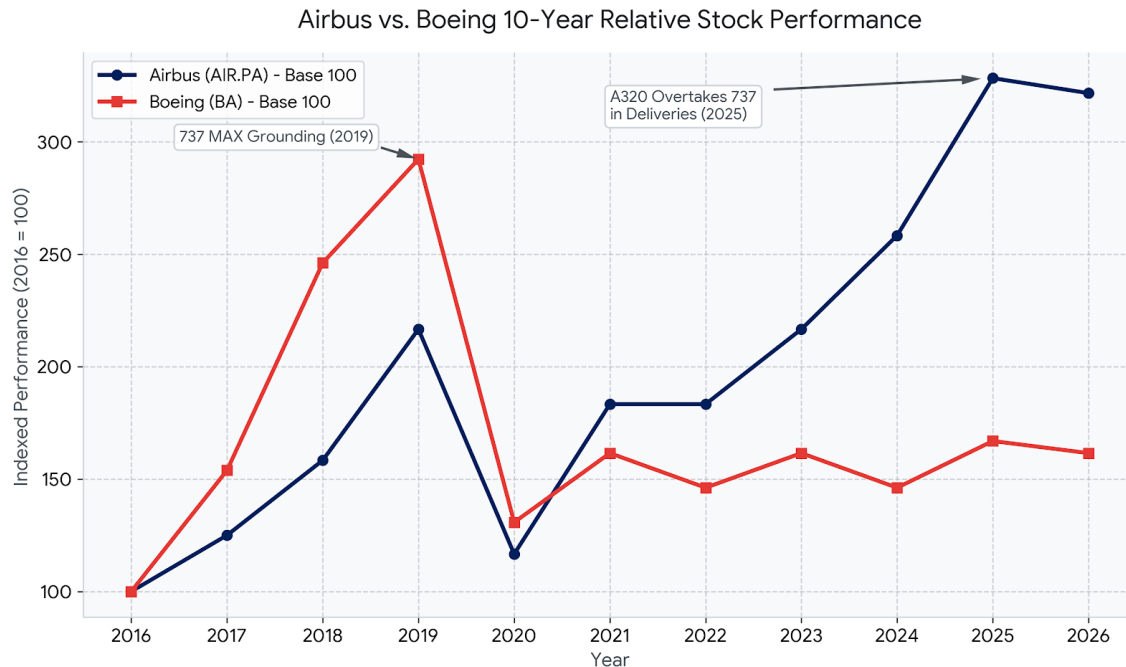
For decades, Boeing cultivated for engineering excellence that appeared unassailable. But taking a huge advantage over any competitor the core strategy of the U.S. manufacturer gradually shifted toward profitability. This left the company vulnerable when Airbus launched the A320neo. Boeing had to react rapidly and with lower CAPEX/R&D budget than it used to have. The main problem they faced was the 737's low ground clearance, and larger engines could not be fitted beneath the wing. Boeing repositioned the engines forward and higher. However, the need to retrain pilots would cost dozens of millions of dollars to airlines, so Boeing's engineers created a system called Maneuvering Characteristics Augmentation System (MCAS) to address that issue. Design flaws and inadequate documentation proved catastrophic. The system malfunctioned, and we all know the consequences of it, more than 300 people died. These strategies also revealed all the security issues that Boeing had accumulated over the years.

"If it's not a Boeing, I'm not going" some used to say. But this crisis that shook the constructor, compounded by the Covid pandemic, could have destroyed the historical American OEM.

Rebuilding trust with airlines and passengers takes time, yet the Everett-based planemaker appears to be making progress. Kelly Ortberg, who took over as a CEO two years ago, is focused on restoring confidence in its aircraft while making the company profitable again.

Some innovative models such as the 777X have experienced significant delays, which has not helped Boeing regain its former standing. Nevertheless, Boeing CEO Ortberg seems to be betting heavily on these models (777X, 737 MAX, 787...) for the company's future. But first, safety and supply chain issues must be addressed.

On the other side of the Atlantic, Airbus is focusing on innovation at its core. The A350ULR recently completed a flight of more than 24 hours from Melbourne to Toulouse. The ZeroE project remains on track to develop hydrogen-powered aircraft. The Toulouse-based company is scaling up its use of SAF. And numerous other projects are under way across all its sites.



Airbus R&D expenses are about 4.3% of its annual revenue, while Boeing's are just below with 4%. The difference is too small to explain any strategic divergence between the two manufacturers.

While Airbus could have benefit from Boeing's downfall, the COVID-19 pandemic happened soon after the two tragic accidents, preventing it from capitalizing on the situation. Both companies suffered from that global crisis. Nevertheless, Airbus has recovered faster and more strongly than Boeing from 2021. Since January 2020, to date, Airbus's stock has risen more than 250% while Boeing's stock has risen less than 50%.

Global Aviation Demand Forecast (2026-2045)

Through every crisis, the aviation industry has been driven by strong underlying growth that has persisted over the years. In its Global Market Forecast, Airbus expects passenger traffic, measured in revenue per kilometers (RPKs), to grow by 3.9% per year for the next 20 years. Boeing, for its part, expects it to grow at 4% per year. Either way, by 2045 global passenger traffic will have more than doubled.

Furthermore, Airbus highlights the fact that post-pandemic fleets are aging, which will increase replacement demand. Both constructors are betting on high demand for single aisle aircraft that can now reach longer distance helping the development of direct flight

between small and medium cities. Indeed, urbanization is shifting the global demand for direct flights to smaller cities compared to the current hub and spoke model. Airbus expect that the A321XLR will be used for 44% to complement widebody aircraft. They expect that traffic passenger will increase 4% per year, slightly above the 3.9% estimate for global aviation.

Boeing identifies several regions of the world as key catalysts for future passenger traffic growth. South Asia and Southeast Asia are among those that will impact the most this trend. This is another driver of strong demand for single-aisle aircraft.

Although single-aisle aircraft are taking over some routes, widebody aircraft still have room for growth, especially for extra-long flights. A few days ago, Airbus completed the longest flight in history, operating a flight of more than 24 hours flight from Melbourne to Toulouse in partnership with Qantas for the Sunrise project with the A350-1000ULR.

Boeing Q2: recovery signals amid persistent execution risks

As Boeing has shown signs of recovery from its difficult period, investors are watching for confirmation that the operational recovery is continuing. The key question is whether Boeing is creating value. Q2's results show several positive signs, though challenges remain.

Analysts' consensus for the revenue was between \$24.05bn and \$24.27bn, while the reported revenue came at \$24.56bn for the second quarter. This indicates strong momentum behind Boeing's operations. Compared to the prior year, revenue rose 8%. This momentum is further confirmed by a robust backlog standing at \$715.3bn.

However, EPS came at (\$0.67) versus estimates ranging from (\$0.28) and (\$0.34). A negative was expected, but not of that magnitude. This was driven primarily by the "\$280 million of losses on the VC-25B program primarily driven by an investment in additional production and certification resources".

Overall, the stock rose approximately 4.5% confirming that analysts and investors remain confident in Boeing's ability to rebound and sustain its recovery. Nevertheless, the following day the stock fell by roughly 3.4%.

One important point is the strategy on which Boeing is betting. Management explains it clearly: “focus has been on restoring trust, and we are now building on that through a sustained focus on safety, quality, and on-time performance”. If this strategy is actually executed, it could enable the planemaker to sustain its recovery.

While the VC-25B charge accounts or the EPS miss, Boeing notes in its 10-Q report: “risk remains that we may record additional losses in future periods”. This indicates that the related issue has not been fully resolved.

Also, CEO Ortberg addressed the 787-seat certification issue: “no victory yet”. This indicates the issue remains unresolved and could weigh on deliveries.

The CEO also provided clarification on union negotiations. He said that talks began early to avoid any problems. Nothing has been decided yet, but he affirmed that management is spending considerable time with workforce and remains confident.

During the earnings call, Boeing CEO emphasized improvement pricing realization on the backlog. He also insisted that there are no supply chain constraints in Everett to reach a rate of production for the 737 of 52 per month. The bigger challenge will be sustaining rates beyond that level.

Also, the 777X is still planned for first delivery in 2027. Overall, all programs under development remain on track.

Above all, Boeing has shown that strong momentum is backing its activities, and we should look to coming quarters to see if it can convert this into a full recovery and generate value in the future. The American planemaker estimate that global passenger traffic will grow by 4% per year over the next 20 years, with a stronger growth in South Asia and Southeast Asia. If production rates increase as expected, this could be a huge opportunity.

As forecasts show, single-aisle aircraft will take on growing importance in global airlines fleet. The 737 MAX will therefore be at the core of Boeing’s business.

Airbus Q2: delivery rebound, backlog strength, and vertical integration

As well as Boeing, Airbus showed rising demand with strong upward trajectory. EBIT Adjusted grew 8.2% YoY, EPS came in at €2.84 compared to €2.03 expected, and revenue came in at €33.2bn compared to €20.75bn expected. These strong results are attributable to both strong deliveries and high growth in the defense and space sector.

On the one hand, the total backlog is published at 9,222 aircraft at the end of June. On the other hand, deliveries came in strong, recovering from Q1 supply chain disruptions. During the first quarter, Airbus suffered from engines shortages due to its suppliers. However, G. Faury affirmed that there is no glider anymore, “gliders in the sense of aircraft not being delivered solely because of engines”. Furthermore, the delivery delay incurred in the first quarter has been made up, and guidance remains unchanged. Airbus’ Faury said that there is not any order cancellation. The commercial momentum is finally confirmed by the strong demand at Farnborough.

Furthermore, several acquisitions underscore the strengthening of the supply chain, a crucial step to ensure that supply chain issues, although they were related to engine suppliers, can be managed within the company itself.

First, Airbus acquired certain Spirit AeroSystems businesses “related mainly to the execution by Spirit of certain supply contracts with Airbus”. Second, the Cobham Ultra group that strengthen Airbus “presence in European cybersecurity landscape”. As well as an agreement to acquire Quarkslab, also in the cybersecurity industry.

Alongside these acquisitions, Airbus (together with Leonardo and Thales) has created a “leading European player in space”, in which Airbus possesses 35%. This company will operate under joint control. Given Airbus’s strong results in the space sector, this new project can be a catalyst to sustain that momentum.

The main concern in Airbus’s report is the line item on the “change in fair value of cash flow hedges” which swung from a positive €5,712M last year to a negative \$1,204M this year. The group could potentially reinforce its hedging policies to minimize the impact of foreign exchange fluctuations and monetary policy uncertainty.

A favorable demand cycle benefits both OEMs

Regardless of which planemaker we consider, a clear demand factor is driving financial results on the right direction. Negative signals are rare, if not inexistant. Supply chain issues were largely resolved after Q1. The Space & Defense sector is as well supporting both companies in delivering strong results. Deliveries and financial targets remain broadly on track in Toulouse and Evreux. On the European side, Airbus's results are further bolstered by its helicopter subsidiary.

Despite ongoing global headwinds (wars, wildfires, surging oil prices ...) both companies have been able to absorb the shocks and pursuing their businesses objectives.

With expected passenger traffic growth of about 4% per year, order backlogs are naturally reaching record highs. However, since this growth is especially strong in South Asia and Southeast Asia, it will be important to see whether both manufacturers can expand their presence in this region, or whether competitors such as COMAC can capture market share by capitalizing on this expansion.